RESEARCH MEMORANDUM

AI implications in insurance, trading, and crypto markets

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executive summary

This memo provides an analysis and summary of the policy landscape around AI with a particular focus on implications for financial markets. It begins with a survey of policy viewpoints across the landscape and zeroes in on several financial services–related areas of concern.

The rise of artificial intelligence offers enormous potential for economic and scientific advancement. Its development also presents a wide range of risks. Underappreciated are the risks relating to financial markets.

The rapid advancement of AI and the rise of highly levered computing infrastructure and data access appears likely to reinforce existing concerns about competition among technology firms. Autonomous AI-driven algorithmic models also appear likely to introduce potentially severe systemic vulnerabilities, including fast-moving herd behavior in financial markets and proxy discrimination [illegible]writing. Given significant uncertainties around the development and expansion of AI across the economy — including its ability to generate revenue for AI hyperscalers — it is also likely to

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create heightened financial market risks around valuation, which may be exacerbated by concentration in the markets and ongoing deregulatory trends emanating from the U.S. Congress, the SEC, the CFTC, and the PCAOB.

What to do about AI oversight has sparked a wide-ranging debate in policymaking circles, including between those who want more or less regulation and whether regulation should be located at the federal or state level. Advocates of technology acceleration urge the continued adoption of pro-innovation policy frameworks, and warn that over-regulation could stifle our country's technical vigor and undermine its global competitiveness in this critical area. However, others point out that past experience from technological change, as well as other fast-moving legal, regulatory, and economic change, highlights the need for common-sense regulatory frameworks for transparency, accountability, and crisis prevention. Quite simply, self-regulation will not deliver; fragmented state laws will likely be insufficient; and traditional enforcement is inherently reactive.

A unified, proactive federal regulatory framework is essential to protect consumers, suppliers, and workers from unfair data extraction, secure transparency in corporate disclosures, and implement ex-ante safeguards against algorithm-driven financial crises.

1. common ground and conflict between re mocratic policymakers

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Common ground

Despite fundamentally different motivations — with Republicans prioritizing geopolitical dominance and Democrats focusing on consumer and worker protections — policymakers in both parties share critical common ground on the future of AI governance:

- **Federal frameworks for frontier models.** Policymakers from both parties have converged on the narrower proposition that the most advanced AI systems warrant some federal standard. Three bipartisan vehicles advanced in 2026: the Great American AI Act (Obernolte R-CA / Trahan D-MA, June 4), the FRONTIER Act (July, with three Republican and three Democratic co-sponsors), and H.R. 8094, the AI Foundation Model Transparency Act (March 26).
- **Mitigating catastrophic systemic risks.** Bipartisan legislation in 2026 converged on treating the most capable AI models as a distinct category of systemic risk. The Great American AI Act plans to extend the Cybersecurity Information Sharing Act through 2035 and direct DHS support to small and rural operators. The FRONTIER Act would establish tiered transparency obligations such as model cards, independent audits, and incident reporting. H.R. 8094 would require disclosure of training data, limitations, and evaluation methods.
- **Innovation.** Policymakers from both parties have advocated on a shared rhetorical frame: federal AI rules should establish guardrails without impeding domestic development. Rep. Lori Trahan (D-MA) described the framework as designed to meet AI's challenges "without smothering American innovation", and Rep. Jay Obernolte (R-CA) framed the FRONTIER Act as ensuring regulation while the United States "[illegible] leader in AI."

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- **Preserving American technical vigor.** Sponsors from both parties present their proposals as balancing guardrails with domestic innovation. Republicans generally emphasize competitive positioning more directly, as many, including Rep. Erin Houchin (R-IN), are concerned about “falling behind China.” Democratic approaches remain split between incremental cooperation and broader regulation.

The appeal to economic competitive advantage could be divided into two arguments: geopolitical, that the U.S. must reach advanced AI before China for military and strategic reasons, and commercial, that American firms must capture AI’s economic value. However, being a first-mover doesn’t guarantee economic competitive advantage: although Britain led the industrial revolution technically, the U.S. captured more of its gains. If AI’s economic returns come mainly from widespread adoption rather than having the most capable model, then measuring national advantage by frontier model performance measures the wrong variable. Instead, it’s important to identify where in the industry profits actually accumulate: with chipmakers, power providers, cloud services, model developers, or the companies building applications? Furthermore, it is important to find what is holding AI development back and how long it takes for free or low-cost models to match the leading ones, to determine whether early leads erode quickly.

What sharpens these questions is the shift from generative to agentic AI in 2026. The Bank of England reports that AI models can handle longer, more complex tasks faster than researchers expected. METR found that the length of a task a model can complete has been doubling roughly every four months, down from an earlier estimate of seven. Leading models can now finish software engineering work that would take a human expert six[illegible]out 50% success rate. Furthermore, deployment is ru[illegible]sight: more than half of finance firms now run agentic systems, and Deputy Governor Sarah Breeden has said that

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existing frameworks can’t keep up with autonomous agents and that a human in the loop for every agent action is unrealistic. As AI develops further and begins to enter the research industry, the urgency for rapid development is exacerbated by the assumption that AI will be able to perform AI research. Once AI enters this research loop, its development will accelerate exponentially and it will be nearly impossible for other countries to catch up. However, agentic systems can also backfire: because they act inside a firm’s workflows, their value depends heavily on adoption, integration, and trust, supporting the case that widespread adoption determines who captures the gains rather than frontier capability.

Conflict

While policymakers in both parties recognize the need for a unified federal baseline, their core ideological motivations, regulatory approaches, and social priorities remain deeply polarized:

- **Geopolitical acceleration vs. precautionary guardrails.** Republican policymakers, in general, treat AI primarily as a national security race against foreign adversaries like China. They advocate for a fast-tracked, pro-innovation environment that maximizes technical development. Conversely, Democratic policymakers adopt a precautionary stance, prioritizing the structural mitigation of societal harms — such as automated worker displacement, data privacy erosion, and corporate surveillance — even if it necessitates slower, tighter regulatory oversight.
- **Federal preemption vs. multi-tiered accountability.** To prevent regulatory friction, Republicans favor total federal preemption, which

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deral ceiling to block and nullify state-level laws. Democrats, by contrast, support a multi-tiered regulatory environment.

They defend the right of state governments and local attorneys general to enforce localized rules, arguing that local oversight provides crucial layers of consumer protection that a single federal framework might overlook.

- **Algorithmic neutrality vs. anti-discrimination mandates.** A foundational ideological divide exists regarding the content and training data of AI models. Republicans strongly oppose federal anti-discrimination mandates, arguing that enforcing “equity” rules artificially embeds partisan, progressive biases into algorithms. Democrats, conversely, view anti-bias protections as essential, demanding strict federal oversight to expose and audit AI models that inadvertently use proxy data to reinforce systemic discrimination against marginalized communities.

2. the ai policy spectrum

The discussion over AI regulation largely reflects the discussion over financial regulation, and often involves the same organizations making the same arguments. In both debates, one side warns that fast-moving, concentrated industries can cause widespread damage, while the other warns that heavy regulation will slow innovation and push business elsewhere. Furthermore, the question of whether federal rules should override state ones is present in both debates. Better Markets, founded to press for tougher financial rules, has been publishing on AI since 2024 and frames the issue around concentration, noting that the five largest investment banks filed 94% of AI-related patents between 2017 and 2021. On [illegible] Bank Policy Institute argues the industry side, rep[illegible]sors who do not appreciate AI risk profiles have made member institutions risk-averse. Regulators have now officialized the

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connection: Treasury's Financial Stability Oversight Council wrapped up a four-part series on AI in May 2026, and Rep. Maxine Waters opened a formal inquiry into AI in financial services.

Concern about concentration among a handful of hyperscalers appears on both the left and the populist right. Epoch AI estimates that Amazon, Google, Meta, Microsoft, and Oracle collectively held about 71% of the world's cumulative AI compute as of Q4 2025, with leading labs largely dependent on these firms for training and inference.

Republican policymakers

The predominant position of right-leaning policymakers and thinkers centers on securing American global dominance over foreign adversaries like China in a technological arms race. They aim to accelerate domestic AI innovation by establishing a uniform federal regulatory framework that preempts and prohibits states from creating a fragmented patchwork of localized laws. Senator Marsha Blackburn's (R-TN) TRUMP AMERICA AI Act reflects this approach in the most comprehensive federal AI legislation proposed to date, preempting state law, establishing a new liability framework, and rewriting copyright liability. In addition, party members emphasize the importance of protecting children and privacy in the new age of AI: the Kids Online Safety Act and NO FAKES Act, as well as third-party audits related to discrimination and bias, are also incorporated into the draft.

Democratic policymakers

Their primary focus centers on mitigating the systemic risks, data ex[illegible] inequities caused by rapid, unchecked AI development. Key concerns include data privacy violations, child safety, worker displacement, and algorithmic bias. They advocate for rigorous

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regulatory oversight at both the state and federal levels, emphasizing that democratic accountability and consumer protections must be maintained rather than ceding governance entirely to private corporations or self-regulating market forces. Sen. Elizabeth Warren (D-MA) has expressed her concern over tech giants “concentrating ownership over powerful technologies and attempting to rewrite the rules that govern them,” with taxpayers exposed to a Big Tech-driven crash from debt-financed AI buildout. Democrats are also concerned about hyperscaler concentration. In June 2026, Warren urged Congress to strengthen antitrust enforcement on AI and revamp merger law to make more information public. Warren has also pressed this concern to Treasury Secretary Bessent to urge investigation into opaque data center financing.

RAND Corporation (non-partisan)

Perspective. Focuses heavily on strengthening AI safety institutes and establishing robust international coordination mechanisms. Because AI evolves too quickly for traditional congressional legislation to react during a crisis, they view static predictions as unreliable. In *Rethinking Social and Economic Policy in the Age of General-Purpose Artificial Intelligence* (RR-A3888-2, 2025), Jonathan Welburn and colleagues synthesize sectoral adoption trends and emphasize the uncertainty surrounding AI capability advancement, warning that unpredictability can produce cascading failures, systemic risks, and large-scale workforce impacts. They recommend adaptable scenario planning to implement “automatic stabilizers” — pre-engineered safety nets and algorithmic protocols designed to trigger automatically during unexpected AI-driven shocks rather than betting on a single forecast.

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Alignment. Emphasizes structural safety nets and systematic government-backed mitigation, though it maintains an objective, non-partisan stance on execution.

Brookings Institution (center / center-left)

Perspective. Argues that the United States is structurally unprepared for the rapid labor disruption caused by AI, noting that the U.S. historically spends significantly less on workforce training as a share of GDP than other advanced economies. This concept appears in *Building Pro-Worker AI* (Feb. 2026), which sorts technologies into five categories and observes that only new task-creating technologies are unambiguously pro-worker while automation is unambiguously not. It argues that current AI investment concentrates on AGI-level capabilities with far less energy flowing toward pro-worker development, even though pro-worker tools are arguably pro-firm as well, since they let workers produce more value. Molly Kinder notes that the U.S. spends heavily on higher education but little on workforce training, leaving few mechanisms to help workers navigate AI-driven change.

Alignment. Strongly aligns with Democratic policymakers' core focus on worker protections, equity, and public-sector stewardship over labor markets.

Insurance-law scholarship (technocratic / academic)

Perspective. Focuses on standardizing operational liability, suggesting that private insurance markets will effectively regulate AI risk long before formal government frameworks can adapt. The foundational statement is Anat Lior's *Insuring AI: The Role of Insurance in Artificial Intelligence Regulation*, 35 Harv. J.L. & Tech. 467 (2022). Because insurers face im[illegible]posure from AI errors, they are highly incentivized to price risk accurately. The insurance sector possesses unique, practical enforcement tools: it can mandate technical safety standards as a baseline

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condition for coverage, reward safe corporate practices with lower premiums, conduct regular operational audits, and deny claims for safety violations.

Alignment. A technocratic framework occupying a neutral middle ground. It appeals to Republicans by relying on private industry rather than expansion of a federal bureaucracy, but it also satisfies Democrats by enforcing strict algorithmic accountability, auditing, and corporate compliance standards.

Cato Institute **(libertarian / free-market center-right)**

Perspective. In *What Might Good AI Policy Look Like?*, Jennifer Huddleston primarily argues that America's global technological superiority was achieved in the 1990s by intentionally leaving the early internet unburdened by heavy regulations, and asserts that AI requires the same laissez-faire environment to thrive. In *Regulatory Preemption or Patchwork?*, Cato argues that state regulation risks derailing this light-touch approach and that AI is by its nature almost always a matter of interstate rather than intrastate commerce, making it inherently a federal issue. In its review of the Obernolte–Trahan draft, *AI Legislation, Export Restrictions, and Free Speech Caught in Between*, Cato treats preemption as a speech benefit: a single set of light-touch federal rules preventing a patchwork that would inhibit competition and reduce the diversity of AI tools. They fault the bill for preempting too narrowly, since its three-year window covers only AI development and not the many applications of AI. However, Cato's federalism caveat is limited: in Huddleston's framework, states may retain traditional roles, including decisions about their own go[illegible], but should not broadly regulate or ban the technology.

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Alignment. A free-market, center-right position. It aligns with Republicans on deregulation and treating AI outputs as protected speech, but breaks from the party's mainstream position by defending federalism and opposing centralized federal preemption.

Heritage Foundation (conservative / right)

Perspective. Contrary to most right-wing views, the Heritage Foundation opposes preemption. In *Federal AI Power Grab Could End State Protections for Kids and Workers*, Heritage argued that the proposed ten-year moratorium in Section 43201 of the House reconciliation package would undermine state laws and override legitimate state efforts to curb Big Tech's abuses with no federal safeguards to replace them. Heritage's main concerns center on children and on Big Tech consolidation rather than on rapid technological development. In *Big Tech's AI Power Grab*, Heritage warns that closed-source AI further concentrates Big Tech's power, allowing a few tech giants to control the most advanced technologies through opaque, unaccountable systems. Heritage also opposed California's SB 1047, arguing it would help powerful firms stifle competition.

Alignment. A populist right position. It aligns with mainstream Republican viewpoints on child safety and skepticism of California-style AI regulation, but diverges from both the administration and libertarian viewpoints on preemption. Its critique of Big Tech consolidation converges with progressive anti-monopoly analysis, but favors open-source competition and state-level accountability over federal regulatory authority.

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Policy and regulatory landscape

The insurance sector is experiencing a structural decoupling: private insurers are rapidly withdrawing coverage for AI-related liabilities while simultaneously embedding AI algorithms into their own operational underwriting and claims-denial workflows. In response, state regulators and legal academic frameworks are stepping in. Rather than writing federal rules, as is common for banking institutions and securities markets, insurance policy trends lean toward state-level consumer protections and technocratic reliance on private compliance standards, while progressives call for public backstops.

Supporting evidence and operational cases

- **The AI liability trap.** Courts are imposing strict liability on corporations for the automated outputs of their AI. In *Moffatt v. Air Canada* (2024), a Canadian tribunal ruled that corporations are fully liable for inaccurate information provided by their web chatbots, meaning businesses face absolute liability just as traditional coverage vanishes.
- **The exclusion wave.** In January 2026, insurance standard-setter Verisk introduced general liability endorsements (forms CG 40 47 and CG 40 48) allowing insurers to exclude claims "arising out of" generative AI. Following this, commercial carriers like Berkley instituted absolute AI exclusions across D&O and E&O policies. Startups like Armilla AI have emerged to fill this multi-billion-dollar gap with specialty AI-only policies.
- **Automated claims discrimination.** Insurers are aggressively deploying AI to automate claims denials. In *Estate of Gene B. Lokken v. UnitedHealth Group*, plaintiffs alleged that the insurer used its "nH Predict" algorithm — which carried an alleged 90% error rate — to [illegible] post-acute care to elderly patients without human clinical review.

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Alignment with political and think-tank views

Democratic perspective. One of the left's main concerns is that AI systems reproduce discrimination through proxy variables rather than explicit classification. New York's Department of Financial Services Circular Letter 2024-7 requires insurers to prove that AI systems don't proxy for protected classes and permits regulators to review vendor tools directly. Brookings argues in Martin Eling's *How Insurance Can Mitigate AI Risks* (2019) that insurance is itself a governance mechanism and that automated decisions can perpetuate discrimination against underserved groups.

Democratic policymakers are also concerned with claim denials. Automated tools have generated a growing body of litigation, one of which is the UnitedHealth suit where the company allegedly used an algorithm to cut off nursing-home care for Medicare Advantage patients against their doctors' judgment, with an error rate that plaintiffs put near 90%. Legislatures responded with California SB 1120, effective January 2025, which prohibits coverage denials based solely on automated tools without licensed human review.

Republican perspective and academic frameworks. Mainstream Republican frameworks generally avoid imposing anti-bias mandates, though the position is not absolute, as Senator Blackburn's 2026 TRUMP AMERICA AI Act discussion draft includes third-party audits related to discrimination and bias. A body of insurance-law scholarship argues that because insurers bear immediate financial exposure when AI fails, they will price and manage that risk faster than a federal agency could — by cor[illegible] on safety standards, rewarding compliance through pr[illegible] audits, and denying claims for violations: tools the government lacks. Another view is that catastrophic AI losses exceed

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private capacity and require a public backstop modeled on the Price-Anderson Act or the Terrorism Risk Insurance Act.

4. trading and ai

Policy and regulatory landscape

Modern capital markets are highly automated, but the transition from static quantitative algorithms to autonomous, deep reinforcement learning models has outpaced post-2010 market guardrails. Financial regulators are highly alarmed by “herding behavior” — where independent AI models train on identical data streams and execute correlated strategies in unison. Policy discussions focus on whether existing market-wide circuit breakers can withstand cross-venue AI shocks, and how to police corporate “AI washing.”

Supporting evidence and operational cases

- **The limits of circuit breakers.** The Flash Crash of May 6, 2010 proved that automated algorithmic feedback loops can erase $1 trillion in value in minutes without human intervention. While the SEC’s subsequent Limit Up-Limit Down circuit breakers successfully halted panic during the March 2020 pandemic shocks, central banks warn that these defenses are unsuited for autonomous AI agents.
- **Systemic correlation.** NVIDIA’s sixth annual *State of AI in Financial Services* surveyed over 800 financial services professionals worldwide and found that 65% of respondents’ firms actively use AI and 89% report that AI increased revenue or reduced costs. However, the most common [illegible]ection, risk management, document processing, and

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customer service — not trading — and agent deployment remains early at 21% deployed.

On the other hand, Bank of England Deputy Governor Sarah Breeden reported at the ECB’s Sintra Forum (June 30, 2026) that more than half of finance firms now run agentic systems across payments, trading, and operational functions. This figure is specific to the UK, drawn from BoE/FCA supervision spanning banks, insurers, broker-dealers, and asset managers rather than banks alone, and describes agentic systems generally rather than autonomous trading specifically. Earlier BoE/FCA surveys found that only a small share of AI use cases involving automated decision-making were actually fully autonomous.

The systemic risk Breeden identifies is herd behavior: agents “could act in similar ways if they are trained on similar data or designed around similar goals,” which could cause them to respond identically to the same market signals. Although most AI used by financial services professionals are open-source models fine-tuned on proprietary data (84%, as reported by NVIDIA), correlation could still arise from shared training corpora, shared objectives, and shared market data — not necessarily from shared vendors.

Autonomous algorithmic manipulation. Legal scholarship published in the University of Chicago Law Review Online (Gabriel Rauterberg, *How Artificial Intelligence Will Shape Securities Regulation*) demonstrates via empirical experiments that deep reinforcement learning models independently learn to execute unlawful trading strategies entirely absent human instruction. Rauterberg’s main concern is scienter: an au[illegible]ing algorithm has no mental state attributable to any designer, so securities law cannot hold it accountable for individual intent. He recommends a shift from individualized, punitive, after-the-fact

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prosecution toward rules that govern how these systems are built and monitored in the first place, and identifies the FAIRR Act as partly inspired by this research.

Alignment with political and think-tank views

Democratic perspective / SEC framework. The SEC's response to AI-related deception has been continuous across administrations, beginning under Chair Gary Gensler in March 2024 and continuing under Chair Paul Atkins. The Cyber and Emerging Technologies Unit was created in February 2025 specifically to pursue AI and cyber misconduct. Gensler's enforcement push against "AI washing" — where financial firms and operating companies overstate their AI capabilities to mislead investors — had moved to parallel criminal prosecution by April 2025 across six named cases (Delphia, Global Predictions, Rockwell Capital, Rimar Capital, Presto Automation, and Nate Inc.) representing more than $44 million in alleged fraud. Democrats' proposals for AI in financial markets have remained largely aspirational: the one concrete rulemaking, Gensler's Predictive Data Analytics rule, which would have required firms to eliminate conflicts where AI tools favor firm interests over clients', was withdrawn under Chair Atkins. What remains is a stalled bipartisan bill (the FAIRR Act), a Democratic letter seeking an FSOC systemic-risk review, and Rep. Waters' Request for Information as the active agenda.

RAND Corporation. RAND warns that AI-driven market shocks may happen faster than Congress can respond, and that the uncertainty around future AI capability makes forecasting unreliable. Instead, it advocates for "automatic stabilizers": pre-programmed safety nets wired into market in[illegible]ce.

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Republican perspective. Market-oriented Republicans generally oppose writing new AI-specific rules, arguing that existing securities law already covers the problem. Chairman Atkins has expressed his view that principles-based rules already require issuers to disclose material impacts, and that prescriptive mandates aren't always the answer to emerging technology. For financial firms specifically, the 2026 Examination Priorities cover registrants' use of automated investment tools and AI technology, doing much of what the withdrawn Predictive Data Analytics rule would have imposed — through supervision rather than rulemaking.

5. crypto and ai

Policy and regulatory landscape

Crypto asset markets represent the highest-risk environment for AI-driven disruptions due to structural fragmentation, continuous 24/7 trading, heavy leverage, and a lack of centralized market-wide circuit breakers. While autonomous AI trading agents operate around the clock with minimal human oversight, federal policy is heavily fragmented. Rather than curbing algorithmic crypto trading, current regulatory actions are actively legitimizing onshore spot and derivative crypto venues to pull activity away from unregulated offshore platforms.

Supporting evidence and operational cases

- **The October 2025 leverage crash.** On October 10, 2025, a sudden macroeconomic shock — a social-media announcement regarding 100% tariffs on China — hit a crypto market carrying $217 billion in highly [illegible]ositions. Because crypto exchanges lack uniform circuit breakers, automated liquidation engines force-sold assets into a vanishing order book. This triggered a domino effect that erased $19

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billion in positions within hours and caused a $90 million pricing glitch on Binance that cascaded globally.

- **Continuous autonomous herding.** Unlike the equities market, which closes and features structural pauses, autonomous AI crypto trading agents respond to real or fabricated sentiment data around the clock. If multiple models herd into a single toxic trade or fall victim to automated flash-loan manipulation, there are no structural safety nets to stop the liquidation cascade until the capital is entirely depleted.

Alignment with political and think-tank views

Democratic perspective / consumer protection. Reflects the Democratic platform's deep skepticism of the crypto ecosystem. Progressive policymakers argue that layering autonomous AI over unregulated, leverage-heavy crypto infrastructure exacerbates predatory market manipulation, retail investor wipes, and data privacy erosion. They demand that crypto platforms be brought fully under traditional securities law.

Republican perspective / Cato Institute. Aligns with the libertarian and center-right desire to maximize financial innovation and secure technological dominance. Under this framework, exemplified by the SEC's "Project Crypto" and CFTC approvals of leveraged spot crypto and perpetual futures, domestic deregulation is seen as a strategic necessity. The Cato Institute's perspective argues that over-regulating AI applications in crypto would stifle financial evolution, asserting that onshore, regulated light-touch oversight is structurally superior to driving technical innovation offshore to foreign adversaries.

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conclusion

Across insurance, trading, and crypto, we see that automation creates fast-paced and large-scale risks where traditional safety nets are either withdrawn (AI insurance exclusions), aren't adapted to modern technology (equity circuit breakers), or never existed (crypto). The proposed policies addressing these risks largely center around increased human oversight over automated decisions, forced transparency, and public backstops. The open question now isn't just how to prevent AI from causing drastic market crashes, but also who pays when they do.

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